MASSACHUSETTS FINANCIAL PROFILE

State of the Union Financial Q&A Reference Guide

ECONOMIC METRIC	STATE SCORE / BENCHMARK	NATIONAL BASELINE REFERENCE
Composite Cost of Living Index	146.2	100.0
Housing Cost Metric	210.4	100.0

Core Financial Jurisdictional Q&A

Q1: What is the personal income tax structure in Massachusetts?

Massachusetts primarily applies a flat 5.00% tax rate on ordinary income. However, a voter-approved 4% surtax (the 'Millionaire's Tax') applies to annual taxable income exceeding $1 million, making it a multi-tiered system for high earners.

Q2: How does Proposition 2½ limit municipal property taxes?

Proposition 2½ restricts a community's total property tax levy to 2.5% of the total full and fair cash value of all taxable property in the municipality, and limits annual levy increases to 2.5% unless voters approve an override.

Q3: Are capital gains taxed differently in Massachusetts?

Short-term capital gains (assets held one year or less) and long-term capital gains on certain collectibles are taxed at a higher rate of 8.5%, while standard long-term capital gains are taxed at the flat 5.00% rate.

Q4: What is the state sales and use tax rate?

The state sales and use tax rate is 6.25%. Massachusetts does not levy local sales taxes, but an additional local room occupancy tax and meals tax can be applied by municipalities.

Q5: How does the estate tax threshold function in Massachusetts?

Massachusetts levies an estate tax on estates valued above $2 million. If the taxable estate exceeds this threshold, the entire estate is subject to tax, utilizing a progressive rate schedule up to 16%.